

Calendar Line 4

Case Name: *Richard Vergason v. Global Loss Prevention, Inc. et al*
Case No.: 24CV452679

Defendants move to compel Plaintiff to arbitrate “individual claims” in his Complaint pursuant to an Arbitration Agreement (“the Agreement”) that provides that “any and all claims arising out of or related to” Plaintiff’s employment will be subject to arbitration, and that any dispute will be brought “on an individual basis only and not as part of a representative action pursuant to [PAGA].” Despite the language of the Agreement, Plaintiff has brought what he calls “a purely representative PAGA action” and argues that the claims in this “Representative Action” cannot be compelled to arbitration.

It is necessary to begin with what the instant motion is not. Despite both parties’ discussion of the topic, this is not a motion to determine Plaintiff’s standing as an “aggrieved employee” to bring representative PAGA claims. Nor is it a challenge to Plaintiff’s Complaint on the basis that a *solely* representative PAGA action is unauthorized by the PAGA statute. Lastly, this is not a proceeding to determine whether Plaintiff’s filing of a representative PAGA claim violates the terms of the Agreement due to a valid PAGA waiver. Instead, Defendants bring a motion to compel “arbitration of [Plaintiff’s] individual PAGA claim.”

Two cases have reached competing views as to whether any “individual PAGA claim” in a complaint purporting to raise solely representative PAGA claims may be compelled to arbitration: *Leeper v. Shipt, Inc.* (2024) 107 Cal.App.5th 1001 review granted April 16, 2025 (S289305), and *Rodriguez v. Packers Sanitation Services LTD., LLC* (2025) 109 Cal.App.5th 69 review granted May 14, 2025 (S290182). This Court finds *Rodriguez* to be more persuasive and chooses to embrace the reasoning in that case.

As stated in *Rodriguez*:

“A motion to compel arbitration “is simply a suit in equity seeking specific performance of a contract.” (*Aanderud v. Superior Court* (2017) 13 Cal.App.5th 880, 890.) On a motion to compel arbitration, the court is required to determine whether the plaintiff has asserted claims that fall within the parties’ arbitration agreement. (*Aanderud*, at p. 890; *EFund Capital Partners v. Pless* (2007) 150 Cal.App.4th 1311, 1321; *Buckhorn v. St. Jude Heritage Medical Group* (2004) 121 Cal.App.4th 1401, 1406.) And “no dispute may be ordered to arbitration unless it is within the scope of the arbitration agreement.” (*Titolo v. Cano* (2007) 157 Cal.App.4th 310, 317.) If the plaintiff’s complaint asserts no individual PAGA claim, there is no existing dispute over his or her right to obtain an individual PAGA remedy, and he or she cannot properly be ordered to arbitrate such a claim. Therefore, if on a motion to compel arbitration the court examines the complaint and determines it does not allege an individual PAGA claim, the court should decline to compel any such claim to arbitration.”

(*Rodriguez, supra*, 109 Cal.App.5th at p. 80.) Here, Plaintiff’s Complaint asserts no individual claims and, in fact, explicitly disavows any suggestion of such. Therefore, there is no individual PAGA claim in the current Complaint for this Court to compel to arbitration.

This Court acknowledges that following *Leeper, supra*, would result in a different conclusion. The Court of Appeal in *Rodriguez* provided a thorough discussion of its disagreement with the holding in *Leeper*. (*Rodriguez, supra*, 109 Cal.App.5th at pp. 78-81.) This Court need not repeat that full discussion here. In sum:

“In essence, *Leeper* decided that (1) under Labor Code section 2699, subdivision (a), an individual PAGA claim is a necessary component of a PAGA action; *therefore*, (2) all PAGA actions, including the complaint under consideration, included an individual PAGA claim. But the second conclusion does not follow from the first. In other words, even if we were to agree with *Leeper's* interpretation of Labor Code section 2699, subdivision (a)—a question we reserve for another day—just because a PAGA action *must* include an individual PAGA claim does not mean any particular complaint brought under the auspices of PAGA *does* contain one. It means that a PAGA complaint *should* contain an individual PAGA claim, not that it *does*. Plaintiffs commonly file complaints that do not conform to statutory requirements. For that reason, specific procedural provisions exist to deal with that scenario. (See, e.g., Code Civ. Proc., § 436, subd. (b) [authorizing trial court to “[s]trike out all or any part of any pleading not drawn or filed in conformity with the laws of this state”].)”

(*Rodriguez, supra*, 109 Cal.App.5th at p. 79.)

Defendants’ argument regarding the specific language in the Agreement is to no avail. Defendants argue that the Agreement requires a determination of an individual’s claims in arbitration to determine PAGA standing. (See Reply, at pp. 4-5.) But this argument puts at least two carts before the horse. The Agreement first requires a “civil court” to determine that Plaintiff’s “PAGA Waiver” is not enforceable, a question not currently before this Court. Next, any determination of Plaintiff’s PAGA standing in arbitration pursuant to the Agreement is dependent upon 1) the existence of an individual PAGA action that is subject to arbitration, and 2) an unspecified process for concluding that determining status as an aggrieved employee in arbitration is “permissible by law.” The first condition, as discussed above, does not exist here, and the second condition is not before the Court.

“[P]laintiff’s failure to assert an individual PAGA claim may mean the complaint fails to comply with section 2699, subdivision (a). This is a potential pleading deficiency the defendant may raise in an appropriate pleading challenge.” (*Rodriguez, supra*, 109 Cal.App.5th at p. 80.) Likewise, Defendants here may choose to challenge the Complaint in civil court for Plaintiff’s alleged defiance of the Agreement by failing to assert an individual claim and by asserting representative claims despite the “PAGA Action Waiver.” However, these are issues for another day.

Defendants’ Motion to Compel Arbitration and request to stay proceedings is DENIED.

The Court will prepare the final order.

Calendar Line 6

Case Name: *Abhinav Bezgam et al vs 18771 Homestead Road, LLC et al*

Case Number: 22CV406777

Defendant Tashjian brings a renewed motion to stay these civil proceedings.

Plaintiffs' evidentiary objections are sustained. The Court finds Plaintiffs' requests for judicial notice unnecessary to the resolution of this renewed motion.

To bring a renewed motion after a motion has been denied in California, a party must comply with the requirements of Cal Code Civ Proc 1008. Specifically, the party must demonstrate "new or different facts, circumstances, or law" that justify the renewed motion. "Tashjian files this Renewed Motion based on the Criminal Incident Report, which was not considered by this court in the Initial Motion." (Motion, p. 6.) This report is the only "new fact" upon which Tashjian brings this renewed motion.

Tashjian does not provide the Court with a copy of the "Criminal Incident Report" and relies solely upon counsel's representations regarding a "synopsis" contained within that document. (Nichani Decl., ¶ 6.) In addition to this being incompetent evidence, "case law interpreting section 1008 has specifically held that a moving party must give a satisfactory explanation for the previous failure to present the allegedly new or different evidence or legal authority offered in the second application." (*Kerns v. CSE Ins. Group* (2003) 106 Cal.App.4th 368, 383, citing *Baldwin v. Home Savings of America* (1997) 59 Cal.App.4th 1192, 1194-1201; *Garcia v. Hejmadi* (1997) 58 Cal.App.4th 674, 688-691.) Tashjian offers no explanation why he did not or could not have offered this report in his initial motion. "Courts have construed section 1008 to require a party filing an application for reconsideration or a renewed application to show diligence with a satisfactory explanation for not having presented the new or different information earlier." (*Gee v. Greyhound Lines, Inc.* (2016) 6 Cal.App.5th 477, 486, quoting *Even Zohar Construction & Remodeling, Inc. v. Bellaire Townhouses, LLC* (2015) 61 Cal.4th 830, 839.)

The Renewed Motion is DENIED.

Plaintiffs to prepare the final order within 10 days of the date of the hearing.

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